Why Did the Yen Weaken After the Bank of Japan Ended Negative Interest Rates?

Logan Rechin and Joe White

Miami University
ECO 442

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Our event

- In March of 2024, the Bank of Japan ended negative interest rates.
- First rate hike in 17 years.
- Major shift away from an extremely unusual monetary policy.
- Normally we would expect the yen to strengthen.
- Instead, the yen weakened.

Economic question: Why did the yen weaken after Japan ended negative rates?

What are Negative Interest Rates?

- Negative rates do not mean consumers literally lose cash.
- Instead, banks can be charged on some reserve balances held at the central bank.
- Aim is to encourage banks to lend and invest, instead of leaving funds just sitting around.
- Aggressive form of expansionary monetary policy.

Simple idea: instead of rewarding banks for holding money, the central bank makes holding that money more costly.

Example

- A bank keeps \$1,000 at the central bank for one year.
- With a normal interest rate, the bank earns money on that balance.
- With a negative interest rate, the bank pays to keep that money there instead.

	Normal Rate	**Negative Rate**
Initial balance	\$1,000	\$1,000
Interest rate	$+0.5\%$	-0.1%
Balance after one year	\$1,005	\$999

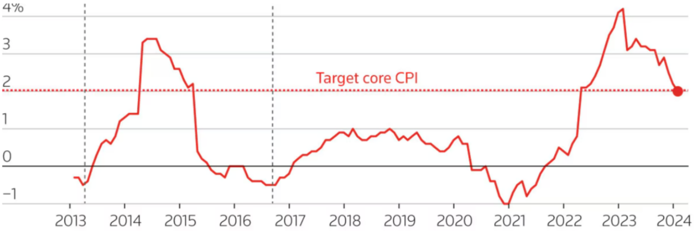
Normal $\rightarrow +\$5$ **Negative** $\rightarrow -\$1$

Why Did Japan Use Negative Rates?

- Weak inflation, weak demand, and slow growth.
- Stimulate the economy and move inflation towards the target.
- Fight stagnation and deflation.
- Removing negative rates was tied to a long fight against weak price growth.

Why did they end it?

- Inflation returned ($\sim 2\%$)
- Wages rising strongly
- The economy was recovering
- Policy had “fulfilled its role”

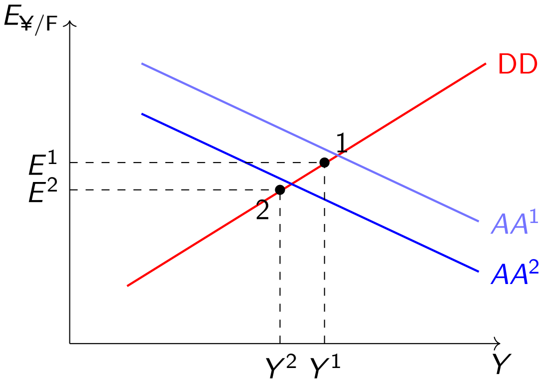


Source: LSEG Datastream

Riddhima Talwani and Pasit Kongkunakornkul • March 19, 2024 | REUTERS

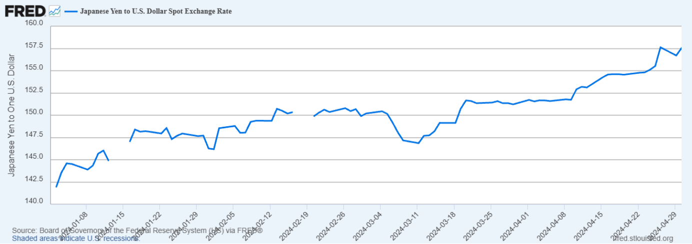
What would we expect to see?

- From the asset model, higher Japanese interest rates make Japanese assets more attractive.
- This shifts the AA curve down.
- The exchange rate falls, meaning the yen appreciates.



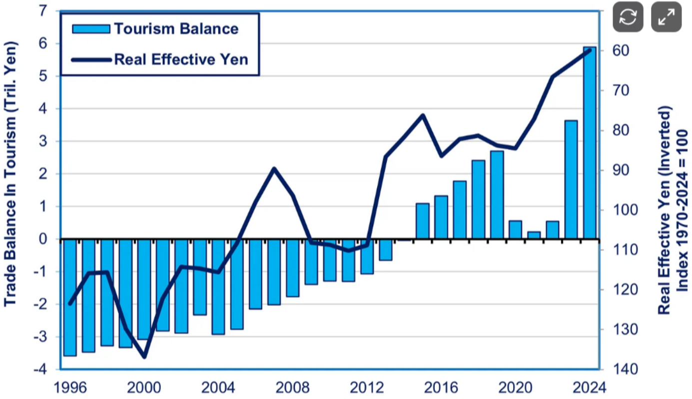
What actually happened and why?

- After the BOJ ended negative rates, the yen weakened rather than strengthened.
- The BOJs move was small and U.S. and other foreign interest rates were still much higher, so investors continued to prefer foreign assets.



What does a weaker yen mean?

- A weaker yen makes Japanese exports cheaper to foreign buyers, helping exporters and making Japan a good destination for tourists.
- It also makes imports more expensive in Japan, raising the cost of foreign goods and putting upward pressure on domestic prices.



Conclusion

- Japan ended negative interest rates, but the yen weakened instead of strengthening.
- The BOJ's move was small, while U.S. and foreign interest rates remained much higher.
- As a result, investors still saw dollar and other foreign assets as more attractive.
- This shows that exchange rates depend on relative returns and expectations, not just the policy headline.

Thank you

Questions?

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